

5 Critical Mistakes to Avoid When Selling Your House for Cash

A Comprehensive Guide for Central Valley Homeowners

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Introduction

Selling your house for cash should be simple. You get an offer, you close fast, you move on. But for thousands of Central Valley homeowners, it's become a nightmare.

Why? Because 99% of "cash buyers" aren't actually buying homes. They're wholesalers. They tie up your property with a contract, search for a real buyer, and take a cut of the profits. You end up with less money, a longer timeline, and broken promises.

This guide reveals the 5 critical mistakes that allow wholesalers to trap sellers. By the end, you'll know exactly what to look for and how to protect yourself.

The good news: These mistakes are completely avoidable.

Mistake #1: Trusting a Wholesaler Instead of a Direct Buyer

The Problem

When a wholesaler calls your house, they say: “We’re a cash buyer. We can close in 7 days. We have proof of funds.”

It sounds perfect. But it’s a lie.

They’re not a cash buyer. They’re a middleman. They don’t have cash. They have a rolodex of investors. They’re searching for someone willing to pay more than their offer so they can take a cut.

How the Scam Works

Step 1: They contact you and make an offer for \$280,000.

Step 2: You sign a contract that says “and/or assignee” (buried in the fine print).

Step 3: They search for a real buyer willing to pay \$300,000.

Step 4: They “assign” the contract to that buyer and take a \$20,000 fee.

Step 5: You get 280,000. *The real buyer pays 300,000.* The wholesaler pockets \$20,000.

You lost \$20,000 because you didn’t know the difference between a wholesaler and a direct buyer.

How to Avoid This Mistake

1. Check if they’re a licensed real estate agent

- Direct buyers are often licensed agents (regulated, accountable)
- Wholesalers rarely have licenses
- Ask for their license number and verify it with the California Department of Real Estate

2. Ask for proof of funds in 24 hours

- Direct buyers have cash and can prove it immediately
- Wholesalers will delay or make excuses
- Real proof of funds shows a bank statement with liquid capital

3. Review the contract carefully

- Look for “and/or assignee” language
- This phrase means they can assign the contract to someone else
- Direct buyers don’t need this language (they’re buying the home themselves)

4. Ask if they’re a direct buyer or wholesaler

- Direct buyers will say “yes, we buy homes ourselves”
- Wholesalers will be vague or defensive
- Trust your gut

5. Get a second opinion

- Show the contract to a real estate attorney
- Ask a trusted real estate agent to review it
- Get an independent cash offer from another buyer

Real Example: The Widow’s Story

Maria inherited her husband’s house. She was 73 years old and didn’t want to be a landlord. She wanted cash and peace of mind.

A “cash buyer” company called her and made an offer for \$250,000. She was excited. She signed the contract.

On day 6, they called her and said: “We need to reduce the price to \$235,000 or the deal falls through.”

She was devastated. She had already made plans for the \$250,000. She needed that money.

She asked why the price was changing. They made up an excuse about inspection issues. It was a lie. They just couldn’t find a buyer at \$250,000.

She accepted the 235,000 *because she had no choice. She was out* 15,000 because she trusted a wholesaler.

This is a common story. Don't let it be yours.

Mistake #2: Not Getting Proof of Funds Before Signing

The Problem

You sign a contract with a “cash buyer.” They promise to close in 7 days. You start making plans.

Then on day 5, they call and say: “We’re still looking for financing. We need an extension.”

Or worse: “We need to reduce the price or the deal falls through.”

Why? Because they never had cash in the first place. They were searching for a buyer the whole time.

Why Proof of Funds Matters

Proof of funds is a bank statement showing that a buyer has liquid capital available. It proves they can actually buy your home.

Real cash buyers can provide proof of funds within 24 hours. If they can't, they don't have cash.

How to Verify Proof of Funds

1. Ask for it in writing

- Don't accept verbal promises
- Get it in the contract
- Make it a condition of the offer

2. Verify it's real

- Check the bank name and account number
- Look for recent dates (within 30 days)
- Look for the buyer's name on the statement
- Be suspicious of round numbers (e.g., exactly \$500,000)

3. Have a real estate attorney review it

- They can spot fake documents
- They can verify it's sufficient for your home price
- They can ensure it's properly documented

4. Don't accept promises

- "We'll get proof of funds by Thursday" = They don't have it now
- "We're pre-approved for financing" = They don't have cash
- "We have investors lined up" = They don't have cash

Red Flags

- They can't provide proof of funds within 24 hours
- The proof of funds is from a different person than the buyer
- The proof of funds is from a business account, not a personal account
- They ask you to sign before showing proof of funds
- They say "we'll provide it at closing"

What Real Proof of Funds Looks Like

- Bank statement from a major bank
 - Recent date (within 30 days)
 - Buyer's name on the account
 - Account balance exceeding your home price
 - Bank letterhead with contact information
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Mistake #3: Accepting the First Offer Without Comparison

The Problem

A cash buyer calls and makes an offer for \$280,000. You're excited. You sign immediately.

Later, you find out another buyer would have paid \$310,000.

You lost \$30,000 because you didn't shop around.

Why Comparing Offers Matters

Cash offers vary wildly. Some buyers are wholesalers taking huge cuts. Some are direct buyers with fair offers. Some are investors looking for deals.

The only way to know if an offer is fair is to compare it to other offers.

How to Get Multiple Offers

1. Contact 3-5 cash buyers

- Get offers from direct buyers (licensed agents)
- Get offers from local investors
- Get offers from national cash buyer companies
- Spread them out over 1-2 weeks

2. Ask the same questions to each buyer

- "What's your offer price?"
- "What's your proof of funds?"
- "When can you close?"
- "Are there any contingencies?"
- "What are your fees?"

3. Compare the offers side-by-side

- Offer price
- Timeline to close
- Contingencies
- Fees
- Buyer credibility (license, reviews, references)

4. Get a Broker Opinion of Value

- Ask a licensed real estate agent for their opinion
- This shows you what your home is worth
- Compare cash offers to the market value
- If an offer is way too low, it's probably a wholesaler

Real Example: The \$30,000 Difference

Tom inherited a rental property. He got an offer from a “cash buyer” for \$280,000. He was about to sign.

His daughter suggested he get a second opinion. He called another buyer.

The second buyer offered 310, 000. *Same property. Same timeline.* 30,000 more.

Tom got a third offer for \$305,000.

He accepted the highest offer (310, 000) *and saved* 30,000 by shopping around.

Don't be the person who accepts the first offer.

The Price Match Guarantee

At Alder Heritage Homes, we offer a **Price Match Guarantee**. We will match or beat any cash offer you receive.

This protects you. If you get a higher offer from another buyer, we'll match it or beat it.

No other cash buyer offers this guarantee. Why? Because they can't afford to. They're wholesalers taking huge cuts.

Mistake #4: Ignoring Red Flags in the Contract

The Problem

You sign a contract without reading it carefully. Later, you discover clauses that hurt you:

- “and/or assignee” (they can assign to someone else)
- Inspection contingencies (they can back out if they find issues)
- Appraisal contingencies (they can reduce the price if the appraisal is low)
- Financing contingencies (they can back out if they can’t get financing)
- Price reduction clauses (they can ask for a lower price)

These clauses are red flags. They mean the buyer isn’t confident in the deal.

Critical Red Flags in Cash Contracts

Red Flag #1: “and/or assignee”

- This means they can assign the contract to someone else
- Direct buyers don’t need this (they’re buying the home themselves)
- Wholesalers use this to find end buyers

Red Flag #2: Inspection contingency

- This means they can back out if they find issues
- Real cash buyers buy homes as-is
- If they want an inspection contingency, they’re not a real cash buyer

Red Flag #3: Appraisal contingency

- This means they can reduce the price if the appraisal is low
- Real cash buyers don’t care about appraisals (they’re paying cash)
- This is a sign they’re looking for financing

Red Flag #4: Financing contingency

- This means they can back out if they can't get financing
- Real cash buyers don't need financing
- If they need financing, they're not a cash buyer

Red Flag #5: Price reduction clause

- This means they can ask for a lower price before closing
- Real cash buyers lock in the price
- This is how wholesalers trap sellers

Red Flag #6: Long closing timeline

- Real cash buyers close in 3-7 days
- If they need 30+ days, they're searching for a buyer
- The longer the timeline, the more likely they're a wholesaler

Red Flag #7: Multiple contingencies

- Real cash buyers have no contingencies
- Each contingency is a way for them to back out or reduce the price
- If there are more than 2 contingencies, be suspicious

How to Review Your Contract

1. Read every word

- Don't skip sections
- Don't assume you understand it
- Look for hidden clauses

2. Highlight red flags

- Use a highlighter or pen
- Mark anything that seems unfair
- Mark anything you don't understand

3. Ask questions

- Ask the buyer to explain each clause
- Ask a real estate attorney to review it
- Ask another buyer if the clauses are normal

4. Negotiate

- Remove “and/or assignee” language
- Remove inspection contingencies
- Remove appraisal contingencies
- Remove financing contingencies
- Lock in the price (no reductions)

5. Get it in writing

- Don’t accept verbal promises
- Get all agreements in writing
- Have a real estate attorney review it

What a Real Cash Contract Looks Like

- No “and/or assignee” language
 - No inspection contingencies
 - No appraisal contingencies
 - No financing contingencies
 - No price reduction clauses
 - 3-7 day closing timeline
 - Proof of funds attached
 - Buyer’s license number (if applicable)
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Mistake #5: Not Understanding Your Net Proceeds

The Problem

A cash buyer offers 280,000. *You think you'll get 280,000.*

But when you close, you get \$250,000.

Where did the \$30,000 go?

- Closing costs: \$8,000
- Buyer's fees: \$5,000
- Title transfer: \$2,000
- Prorated taxes: \$3,000
- Realtor commission: \$12,000 (if you used an agent)

You didn't understand your net proceeds.

Why Net Proceeds Matter

Net proceeds = The amount of money you actually receive after all fees, costs, and deductions.

This is different from the offer price.

What Reduces Your Net Proceeds

1. Closing costs (2-4% of sale price)

- Title insurance
- Recording fees
- Escrow fees
- Transfer taxes
- Lien payoffs

2. Real estate commission (if applicable)

- Typically 5-6% of sale price

- Only if you used a real estate agent
- Not applicable if selling directly to a cash buyer

3. Buyer's fees (if applicable)

- Some buyers charge "processing fees"
- Some charge "inspection fees"
- Real direct buyers don't charge fees
- Wholesalers often charge hidden fees

4. Mortgage payoff

- If you have a mortgage, it gets paid off at closing
- This reduces your net proceeds

5. Property taxes (prorated)

- If you've paid taxes for the full year but only own the home for part of the year
- You get reimbursed for the portion you don't own

6. HOA fees (if applicable)

- If you have an HOA, fees get prorated
- You pay for the time you owned the home

7. Liens or judgments

- If you have tax liens, judgment liens, or other liens
- They get paid off at closing
- This reduces your net proceeds

How to Calculate Your Net Proceeds

Formula: Net Proceeds = Offer Price - Closing Costs - Buyer Fees - Mortgage Payoff - Prorated Taxes - HOA Fees - Liens

Example:

- Offer Price: \$280,000

- Closing Costs: \$8,000
- Buyer Fees: \$0 (direct buyer, no fees)
- Mortgage Payoff: \$150,000
- Prorated Taxes: \$3,000
- HOA Fees: \$0
- Liens: \$0
- **Net Proceeds: \$119,000**

How to Maximize Your Net Proceeds

1. Sell to a direct buyer (not a wholesaler)

- Direct buyers don't take assignment fees
- You get more money

2. Avoid buyers who charge fees

- Some buyers charge "processing fees" or "inspection fees"
- Real direct buyers don't charge fees
- Avoid these buyers

3. Negotiate the offer price

- Get multiple offers
- Negotiate with the highest bidder
- Use the Price Match Guarantee (we'll match or beat any offer)

4. Understand all costs upfront

- Ask for a closing cost estimate
- Review it carefully
- Ask questions about any costs you don't understand

5. Use a real estate attorney

- They can review the closing statement
- They can identify hidden costs

- They can negotiate on your behalf

Real Example: Cash Sale vs. Traditional Listing

Scenario: \$350,000 home

Traditional Listing:

- Sale Price: \$365,000
- Real Estate Commission (6%): -\$21,900
- Closing Costs (2%): -\$7,300
- Repairs (estimated): -\$5,000
- Days on Market: 45 days
- **Net Proceeds: \$330,800**

Cash Sale (Direct Buyer):

- Sale Price: \$350,000
- Closing Costs (1%): -\$3,500
- Buyer Fees: \$0
- Repairs: \$0
- Days on Market: 3 days
- **Net Proceeds: \$346,500**

Difference: +\$15,700 in net proceeds with cash sale

Plus: You close in 3 days instead of 45 days, and you don't have to make repairs.

Use the Compare Options Calculator

At Alder Heritage Homes, we offer a free **Compare Options Calculator** that shows you exactly what you'll net from a cash sale vs. a traditional listing.

Input your home value and repair estimate. The calculator shows you the real numbers.

No obligation. Just real math.

How to Protect Yourself: The Alder Heritage Advantage

We're Different

We're not wholesalers. We're direct buyers. We actually purchase homes ourselves.

Here's what we offer:

1. Licensed Real Estate Agent

- DRE #02219124
- Regulated and accountable
- Can't lie to you without legal consequences

2. Proof of Funds in 24 Hours

- We actually have cash
- We can show you proof within 24 hours
- No delays, no excuses

3. Close in 3 Days

- We have capital
- We close fast
- No contingencies, no delays

4. No Assignment Contracts

- Our contracts don't say "and/or assignee"
- We buy the home ourselves
- You know exactly who you're selling to

5. Price Match Guarantee

- We match or beat any cash offer
- No last-minute price reductions
- The price you agree to is the price you receive

6. 700+ Homes Purchased

- Since 2008
- Proven track record
- Real capital, real results

7. Free Broker Opinion of Value

- We provide a free market analysis
- You know if the offer is fair
- No surprises

How to Get Started

Step 1: Tell us about your home

- Fill out our short form or call (559) 281-8016
- No obligation, no pressure
- Just a 5-minute conversation

Step 2: Get your written cash offer

- We research your property
- We present a fair, written offer within 24 hours
- We include proof of funds
- We include a free Broker Opinion of Value

Step 3: Close and get paid

- You pick the closing date
 - As fast as 3 days or whenever you're ready
 - We handle all paperwork
 - You walk away with cash, zero fees
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Conclusion: You Now Know the 5 Critical Mistakes

1. **Trusting a wholesaler instead of a direct buyer** - Verify they're a licensed agent with proof of funds
2. **Not getting proof of funds before signing** - Demand it within 24 hours
3. **Accepting the first offer without comparison** - Get 3-5 offers and compare
4. **Ignoring red flags in the contract** - Review carefully for "and/or assignee" and contingencies
5. **Not understanding your net proceeds** - Calculate what you'll actually receive after all costs

By avoiding these mistakes, you'll:

- Get a fair price for your home
 - Close quickly without delays
 - Avoid being trapped by wholesalers
 - Understand exactly what you'll receive
 - Have peace of mind
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Next Steps

Ready to sell your home for cash?

Contact Alder Heritage Homes today for a free, no-obligation cash offer.

Call Connor: (559) 281-8016

Or visit: **alderheritagehomes.com**

We're licensed, we have proof of funds, and we match or beat any offer.

About Alder Heritage Homes

Alder Heritage Homes is a licensed cash buyer and real estate agent serving the Central Valley. We've purchased 700+ homes since 2008.

We specialize in:

- Probate and inherited homes
- Foreclosure prevention
- Behind-on-mortgage situations
- Divorce home sales
- Tired landlords
- Fire damage and code violations
- Any situation where you need to sell fast

We're different from other cash buyers because:

- We're licensed (DRE #02219124)
- We have real capital
- We close in 3 days
- We offer a Price Match Guarantee
- We don't wholesale (we buy homes ourselves)

Learn more: alderheritagehomes.com

Disclaimer

This guide is for educational purposes only. It is not legal advice. For legal advice, consult with a licensed real estate attorney in California.

The information in this guide is based on common practices in the Central Valley real estate market. Individual situations may vary.

Alder Heritage Homes is a licensed real estate agent and cash buyer. We do not provide legal advice. For legal questions, consult with a licensed attorney.

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